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The impact of digital transformation and automation on proactive contracting and sustainability

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Abstract: The regulatory landscape surrounding artificial intelligence (AI) in Europe is evolving. Alongside technological advancements, the European Union's sustainability regulations impose new duties and obligations on businesses. In this context, both technology and proactive law, including proactive contracting, play essential roles. This article examines the interplay between digital transformation, automation and AI in relation to proactive law and proactive contracting. It adopts an interdisciplinary approach and relies on recent empirical surveys on AI and contracting. The article contributes to the existing body of research on proactive contracting, contract lifecycle management systems and sustainability. It addresses contrasting viewpoints expressed in the ongoing discourse and introduces a new definition for *proactive (contract) technologies*. In addition, attention is paid to their function in fostering compliance and preventing non-compliance. The article outlines eight concrete proposals for businesses seeking to navigate this complex landscape. It ends with conclusions that inform future research directions.

Keywords: *AI, automation, compliance, contract lifecycle management, digital transformation, proactive contract technologies, proactive contracting, proactive law, reporting, sustainability, non-compliance*

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1. Introduction and background

In the current landscape of regulatory developments in AI around the world, three approaches are distinguishable: the European Union's (EU) approach is risk-based and said to be the most protective of the three; the United States of America (USA) follows a market-based view; and China has preferred fewer restrictions to open up opportunities for the state to use AI (Engler, 2023; Kerikmäe, 2023; Pernot-Leplay, 2024; Göksal and Solarte-Vásquez, 2024). While some argue that Europe may be becoming too strict by issuing the Artificial Intelligence Act ('Proposal COM/2021/206 final', 2021), it was necessary because the Commission has set ambitious digitalization targets in the *Digital Decade of Europe* (European Commission, 2023) and established the AI Office to promote advancements in AI (European Commission, 2024). Nonetheless, innovation keeps being a priority and has been considered a key success factor in overcoming the challenges and obstacles to digital transformation (Ramiro Troitiño and Kerikmäe, 2021).

In parallel with digital development targets (Ramiro Troitiño, Kerikmäe and Hamulák, 2023), the EU has set ambitious sustainability goals. The normative framework around sustainability includes the EU Taxonomy Regulation ('Council regulation (EU) 2020/852', 2020), the Corporate Sustainability Reporting Directive (CSRD, 'Council directive (EU) 2022/2464', 2022), the Corporate Sustainability Due Diligence Directive (CSDDD proposal, 'Proposal COM/2022/71 final', 2022) rules on Sustainability-Related Disclosures in the Financial Services Sector (SFDR, 'Council regulation (EU) 2019/2088', 2019) and the EU Emissions Trading System (EU ETS, 'Council directive 2003/87/EC', 2003). Even though the imperative to foster sustainable development is acknowledged, the duties and obligations it brings along may feel overwhelming. The literature on this aspect has begun to denounce this problem. For example, Andrade and Solarte-Vásquez (2024) have critically studied the compatibility between Sustainable Development Goals (SDGs) and the legal environment of AI in the EU, including the *AI Act*.

While technology, in general, is expected to support sustainability efforts, proactive contract technologies could help with reporting on these initiatives. These are practical applications with significant growth potential. Furthermore, in addition to technological development, the strategic principles of proactive law and its subdomain, proactive contracting, have

come into play to facilitate advancements. This article examines the above topics, asking and answering what is the role of and interplay between digital transformation and automation in proactive law and proactive contracting.

The area of research is in dynamic progress, and the inquiry may feel like hitting a moving target (Bailey, 2018), which means that predictions in the future may later prove hilarious (Ballardini, He and Roos, 2019). Therefore, this work is based on an interdisciplinary methodological approach and draws from the literature on proactive law, proactive contracting, contract management, contract lifecycle management and AI in connection with the current understanding of sustainability. Furthermore, as background information, it utilizes empirical data collected from outcomes of surveys and research programs, provided by renowned organizations in law, contract management and AI. These include insights from the Harvard Law School Center on Legal Profession (2021), Gartner (2023; 2024), Forrester Wave (2023), World Commerce and Contracting Association (WorldCC, 2024) and research initiatives by the Finnish Center for Artificial Intelligence (FCAI), such as the FCAI Research Programs 'AI for society' and 'AI for sustainability' (FCAI, 2024a; 2024b). The results of these studies provide a solid foundation but should be complemented by future research. The findings of the AI survey conducted by the National Contract Management Association in the US (NCMA, 2024) are forthcoming and anticipated.

The article is structured as follows: Section 2 introduces the key concepts and definitions, while Sections 3 and 4 summarize the main findings and trends identified in recent surveys and market research and propose paths for future studies. Section 5 reviews the ongoing discussion and presents a conclusion, providing eight practical recommendations and theoretical proposals on the definition of proactive (contract) technologies and a classification for the EU's digitalization targets under strategic and operational goals.

2. Key concepts and definitions

The research topic is approached through key concepts and definitions related to proactive strategies, contract lifecycle management and AI and other emerging technologies (derived from the normative landscape). Given that the terminology in these areas is not consolidated, a new definition for proactive contract technologies is proposed. It applies the principles of clarity and user-friendliness from the literature (Corrales Compagnucci, Fenwick and Haapio, 2022, p. 421; Hirvonen-Ere, 2022, p. 294) as part of

the proactive approach (Haapio, 2013, p. 7) to contextualize essential terms. Additionally, the paper will address compliance and non-compliance in relation to these concepts.

2.1 The proactive approach in law

The proactive approach, according to Haapio (2013, p. 7), "views contracts *ex ante* as strategic tools that managers can use to plan and shape business deals and relationships" and seeks to enable the parties to achieve objectives through collaboration and use contracts (1) to frame, support and guide successful business deals and relationships, with an emphasis on good communication and collaboration; (2) to balance risks and rewards; and (3) to prevent unnecessary problems, disputes and litigation.

The proactive law approach and its broad potential are grounded in the tenets of preventive law (Pohjonen, 2005) and a view that places weight on the long-term relationships and effects of exchange (Nystén-Haarala, 1998). This perspective is essential and aligns with Macneil's (1980; 1983; 1999) relational theory, which has enormously influenced the current understanding of advanced contract theory. Macneil emphasizes cooperation as vital for achieving successful outcomes rather than merely ensuring compliance.

Building on these foundational theories, this paper recognizes more recent applications of the proactive approach in contracting. Proactivity has shaped outsourcing strategies, risk evaluation and implementation (Kavaleff, 2006). Furthermore, proactive contracting has been explored in various contexts, including changes in attitudes and the contributions of lawyers in project agreements (Nuottila, Kauppila and Nystén-Haarala, 2016), digital contractual strategies (Solarte-Vásquez and Nyman-Metcalf, 2017), contract design and visualization (Passera, 2017), user-centered design and contract simplification (Finnegan, 2021), perspectives on contract management (Hirvonen-Ere, 2021), the diverse functions of contracts in organizational relationships (Hurmerinta-Haanpää, 2021), designing business contracts through contract management in both pre- and post-award phases of the contract lifecycle (Hirvonen-Ere, 2022), contract processualization in post-award phases (Henschel, 2022), corporate sustainability due diligence (Saloranta and Hurmerinta-Haanpää, 2022), prevention of unwanted consequences and promotions of desired outcomes in contracting (Rich, Weber and Bauman, 2022) and purchase contracts (Storsjö and Kaave, 2023).

2.2 Contract lifecycle management

The meaning of contract lifecycle management is explained as follows:

> In addition to reviewing Contract Lifecycle Management as digital systems and artificial intelligence-based solutions controlling all contracts-related data during the entire contract lifecycle, it is viewed as the intra- and inter-organization function managing contracts and supporting (human) contract parties to enhance their contractual relationships. (Hirvonen-Ere, 2022, pp. 85–99)

This coincides with Kähler's (2013) view of contract management as a potential regulatory device, especially in light of his stance on contract management regarding digitized systems. Besides, Kähler's (2013, p. 89) perspective of contract (lifecycle) management's potential as a regulatory device is intriguing, given the growing legislative developments surrounding AI and sustainability.

2.3 Artificial intelligence

According to the European Commission, AI

> is a fast-evolving family of technologies that can contribute to a wide array of economic and societal benefits across the entire spectrum of industries and social activities. At the same time, depending on the circumstances regarding its specific application and use, AI can generate risks and cause harm to public interests and fundamental rights that are protected by Union law. ('Proposal COM/2021/206 final', 2021, Recital 1)

In turn, the Commission describes 'AI system' as "machine-based and designed to operate with varying levels of autonomy capable of generating outputs like predictions or recommendations for explicit or implicit objectives" ('Proposal COM/2021/206 final', 2021, Recital 3). A more recent dissertation-level definition of AI by Kukkonen (2024) adds that AI is a "general purpose technology able to create value in multiple industries."

Although these definitions are useful in advancing normative language, they remain too broad. The preferred description is by the World Commerce and Contracting (WorldCC) that characterizes AI functionally, referring to

> the ability of machines to mimic human cognitive functions, such as learning and problem-solving. This includes a range of techniques, from

> simple rule-based systems to complex machine-learning algorithms. In the context of contracting, AI can be used for tasks like contract review, drafting, negotiation, and compliance monitoring. (WorldCC, 2024)

As the regulatory and informational landscape evolves, especially in terms of developments in AI and sustainability, the importance of compliance and the avoidance of non-compliance become even more significant. Thus, the WorldCC definition not only clarifies the role of AI but also establishes a suitable framework in connection with proactive law and proactive contracting.

2.4 Emerging contract technologies

Emerging contract technologies are new and upcoming methods, tools and platforms, as well as other solutions that may be used in contract creation, execution and management (Srivastawa, 2023), which integrate technological advancements for contract automation (Kerikmäe and Rull, 2016), such as smart contracts (Solarte-Vásquez and Nyman-Metcalf, 2017; Strathausen and Nikkels, 2020; Stathis *et al.*, 2023) and other technologies integrated with blockchain (Sulkowski, 2018; Vacca *et al.*, 2021; Ishibashi, Shiva and Rosenbach, 2024), robotics, big data analytics, etc.

The purpose of implementing such technologies in contracting is to optimize contract processes (Saxena, 2008), enhance security, improve transparency and minimize the need for manual intervention. Moreover, emerging contract technologies transform (Allal-Chérif, Simón-Moya and Cuenca Ballester, 2021; Cummins and Clack, 2022) and revise (Tornbohm *et al.*, 2023) traditional contract management practices via innovative solutions that address inefficiencies and complexities (Kähler, 2013).

2.5 Proactive (contract) technologies

Building on the above descriptions, a new definition for *proactive contract technologies* can be established: proactive contract technologies are innovative software or AI-based technology solutions that utilize automation and data analytics to enhance the overall management and execution of contracts, both pre- and post-award. These technologies are designed to enhance the strategic and operational performance of the legal, commercial, contractual, ethical and project management-related aspects of a contract and contract portfolio throughout the entire contract lifecycle. They aim to promote materialization of all targets of a contract and contract portfolio to occur

according to what has been internally approved within the organization and externally agreed upon between the parties, in compliance with laws and internal and external policies, to avoid non-compliance and enable smooth trading relationships and profitable and sustainable growth.

2.6 Compliance

Compliance refers to the adherence of contracts, including their terms, conditions, appendices, work orders, workflows and other legal and commercial documents, to applicable regulatory frameworks, legislation and company policies. When discrepancies arise, stricter standards must be followed. For example, if a country's legislation permits a less restrictive approach than internal company policy, the latter must prevail to meet both external and internal compliance standards. Conversely, if a company policy is more flexible than the law, legal requirements must be prioritized and modifications to the company policy should be introduced accordingly (Hirvonen-Ere, 2021).

This question is becoming increasingly relevant for global corporations. For instance, a company operating in the EU, the USA and China faces different (and sometimes conflicting) regulatory frameworks for AI. Therefore, if a firm is headquartered in any of these locations, its global corporate policy should either consider various regulatory frameworks and stipulations or be localized for each region or country to ensure compliance with applicable regulations and local laws.

2.7 Commercial and contractual compliance

Commercial and contractual compliance means that the contract meets the legal requirements and the company policy, whichever is stricter, *and* encompasses adherence to all legal, commercial and contractual terms and conditions that have been internally approved and externally negotiated prior to the award, agreed upon at the contract award stage and executed during the post-award phase.

2.8 Non-compliance

In the context of this study, "non-compliance" refers to a failure to adhere to the regulatory framework, legislation or internal and external rules such as company policies, internal approval processes or any other stipulation that the party is required or committed to follow.

Whichever rule is the strictest, the contractual relationship must adhere to. To ensure compliance, it is insufficient to partially adhere to the stipulations or internal compliance rules. For instance, a corporation may be located in China but headquartered in the EU or in the USA, where stricter AI policies may be in place, and unless the company's corporate global policy addresses those inconsistencies, the regulation originating in the EU or in the USA applies regardless, to avoid a breach of company policy due to non-compliance. A breach of a company's commercial or contracting policy may constitute non-compliance, even if the action aligns with the local legislation (Hirvonen-Ere, 2021).

To reduce non-compliance risks and ensure adherence to legal and internal standards, organizations can utilize proactive contract technologies. These tools streamline contract management and enhance compliance with applicable regulations and company policies, ultimately leading to improved efficiency, stronger trading relationships and better business outcomes.

3. Exploring the state of the art of AI in contracting

3.1 Current landscape and trends

Emerging and proactive technologies are transforming how organizations conduct business and compete in the current Digital Decade (Tornbohm *et al.*, 2024; European Commission, 2023), particularly in enhancing commercial and contract management practices. However, the WorldCC's 2024 AI report highlights a disconnect between aspiration and actual implementation: while 76% of business organizations express a desire for AI solutions, only 37% are currently utilizing them (WorldCC, 2024). Despite ongoing advancements in AI-driven contract lifecycle management solutions (Bartels *et al.*, 2019; Gartner, 2023; 2024), the adoption of AI is not progressing as quickly as anticipated. Nevertheless, the industry report reveals that there is a strong desire among organizations to increase their use of AI-based solutions in the future (WorldCC, 2024).

These findings and estimates are consistent with a recent review of the Contract Lifecycle Management (CLM) software market, which grew from $1.3 billion in 2022 to $1.4 billion in 2023. Projections suggest this market could reach $3.8 billion by 2032, with a compound annual growth rate of 12.8% (Vyasi, 2024). The increasing investment in CLM solutions reflects a recognition of their potential to streamline processes and improve compliance within organizations. The current landscape of contract technology is shaped by insights from leading research organizations like Gartner (2023) and Forrester Wave (2023), which recognize CLM solution providers such as DocuSign, Icertis, Conga, Agiloft and SirionLabs as some of the most advanced in the field. This recognition is significant from the perspective of proactive contract technologies, as many of these are already integrating AI and other emerging technologies into their solutions to facilitate contracting.

Vyasi's (2024) report identifies not only the same market leaders as the previous Forrester Wave (Bartels *et al.*, 2019) and Gartner (Gartner, 2023) reports but also includes Wolters Kluwer, IBM, SAP and Google among relevant CLM market players in 2024. This expansion indicates that the competitive landscape is evolving to incorporate new entrants into the CLM market.

3.2 The pace of AI development

Several factors contribute to the slower-than-expected adoption of AI in organizations. The WorldCC survey (WorldCC, 2024), sharing similarities with earlier findings by Ramiro Troitiño and Kerikmäe (2021), helped identify the following nine:

Data privacy and security concerns: Apprehensions regarding data privacy and security, particularly in relation to general AI applications, limit the willingness to use these technologies.

Data quality and bias: Standing issues surrounding data quality and inherent biases in AI systems present obstacles. Biased algorithms can produce responses that reflect human inclinations and societal prejudices. Known examples are misogynist responses to questions and prompts fed into generative AI systems, such as "are female salaries lower than male salaries, and if yes, why?" for which a biased output could assert something like "Yes, they are because men are more prepared than women."

Integration challenges: The complexities of integrating AI solutions and other emerging technologies with existing systems (legacy infrastructures) complicate adoption efforts.

Lack of expertise: Shortage of technical and subject-matter expertise necessary for effective implementation and management of AI solutions.

Regulatory uncertainty: Among contract professionals, unpredictability regarding risks and costs in different jurisdictions, along with compliance challenges, contributes to their hesitation in adopting AI.

Cost-benefit considerations: Fear of high costs coupled with low perceived benefits decreases the willingness to invest in AI technologies.

Resistance to change: The perception of prospective job loss and skepticism about AI capabilities leads to reluctance among employees to support and embrace the increased use of AI. Some worry that the human oversight required to ensure quality will force the human workforce to be displaced into this area.

Trust issues owing to hallucinations: Lack of certainty and potential inaccuracies in data outputs, especially regarding general AI applications, continue to undermine trust in these systems.

Ethical questions: Ethics and morality issues in automated decision-making, such as lack of transparency and accountability, hinder the advancement of AI adoption. (WorldCC, 2024, p. 9)

At the same time, the WorldCC (2024) survey highlighted numerous advantages that could result from a greater penetration of AI in contract management. These include productivity increase; time savings throughout the entire contract lifecycle; transparency; innovation capabilities; accuracy improvements; added value; cost reductions; better risk management and compliance; upskilled knowledge; and, finally, support to achieve sustainability objectives. (WorldCC, 2024, p. 13)

A recent market report further reinforces this optimism. Vyasi (2024) predicts an annual market growth rate of 12.8% for CLM technology, driven by the need for efficiency, enhanced visibility and control, streamlined workflows and overall digital transformation. This anticipated growth matches the European Commission's vision and strategic goals established in the *Digital Decade of Europe* (European Commission, 2023).

3.3 Strategic and operative goals

Drawing from the studies and reports mentioned above, contract professionals expect that the adoption of AI and proactive technologies will support the achievement of various objectives. In addition, the European Commission's digitalization targets are likely to enhance the implementation of AI in this context. To better understand these objectives, this article categorizes them under strategic and operational goals. Strategic objectives may include anticipated time savings that can be directed towards more strategic tasks as well as scaling opportunities for business growth, whereas operational goals could involve practical aspects such as risk analysis and compliance topics, negotiations, contract generation and contract summaries (WorldCC, 2024, p. 11).

A recent survey highlighted that the rapid development of AI has taken many business leaders by surprise. Unlike previous technological transformations that were typically driven from the top down, AI has emerged from a bottom-up approach (Zaki, 2024). This distinction sets the current evolution of AI apart from earlier changes in technology (Ritala, Ruokonen and Ramaul, 2023). Such insights indicate the unique nature of AI development and its implications for organizations today. Finally, looking ahead, the localized results of the upcoming NCMA (2024) survey are anticipated to determine the extent to which they confirm or differ from the global findings reported by the WorldCC (2024).

4. Discussion surrounding AI: the best or the last invention of humankind?

4.1 Is AI the best or the last invention of humankind?

As previously discussed, the development of technologies presents organizations with tremendous opportunities that many professionals eagerly anticipate, but the pace of progress is still hindered by conservative and/or cautious perspectives emerging from ongoing discussions about AI. They reveal the complexities and challenges that sectors and industries must address. The late Stephen Hawking (2016) marked these concerns when he stated that, "In short, success in creating AI could be the biggest event in the history of our civilization. But it could also be the last, unless we learn how to avoid the risks. Alongside the benefits, AI will also bring dangers." He further emphasized that "the rise of powerful AI will either be

the best or the worst thing ever to happen to humanity. We do not yet know which." (Hawking, 2018, p. 13)

While Hawking's insights incite exaggerated concerns about the potential consequences of AI development (Nourbakhsh and Keating, 2020), many individuals are facing immediate issues related to privacy and data security in their daily lives (Rossi *et al*., 2022). Fears about the unregulated use of AI are pertinent, given the global trends; for instance, China appeared to advocate for minimal regulation. However, it should be mentioned that its initial approach has recently shifted towards more comprehensive oversight.

Job displacement due to increased automation and robotization is another significant concern (Brynjolfsson and McAfee, 2014; Ford, 2015; Frey and Osborne, 2013; Harari, 2018; Susskind and Susskind, 2015). This anxiety extends specifically to legal work and contracting. Certain human skills could remain irreplaceable by technology (Koenig *et al*., 2018); however, as noted earlier in this paper, the landscape of work is poised for transformation (Antman, 2024; Lipshaw, 2019; McGinnis and Pearce, 2014; Ritola, 2024) and a number of roles currently performed by humans may diminish or disappear altogether (Susskind and Susskind, 2015).

4.2 AI and contracting technologies

Six months after the forecast on AI, contracting technologies and growth projections on the CLM software market (Vyasi, 2024), in September 2024, the estimations indicate that the growth of AI development could accelerate even more rapidly than anticipated, with notable advancements expected within just one year (Antman, 2024; Ritola, 2024). These predictions respond to general trends that show AI being integrated into various sectors, including contracting technologies, which invites reflections regarding its implications. There are two areas worth mentioning.

AI directly impacts pricing in professional services, presenting important challenges, particularly for those in creative industries. By reducing the costs associated with tasks such as proofreading and translation, AI diminishes reliance on (and interest in) more expensive human labor. While consumers may benefit from lower prices, service providers face the unsettling prospect of losing their livelihood as a result (Jokela-Vahteristo, 2024). This fear is not unfounded; a survey conducted among 12,500 members of the Society of Authors (SoA) revealed that 36% of translators and 25% of illustrators reported having lost work to AI (SoA Policy Team, 2024). Although the

respondents were primarily based in the United Kingdom (the SoA is the UK's largest trade union for writers, illustrators and literary translators) and the accuracy of this finding is limited to fewer than 1,000 responses, the matter should not be overlooked. Another study indicated that while perceptions of AI tools are mixed, many users find them to be as precise and efficient as human experts in tasks related to editing and proofreading (Al Sawi and Alaa, 2024).

Technology also raises serious environmental concerns. While it is commonly assumed that proactive technologies and AI will aid in achieving the Sustainable Development Goals (United Nations General Assembly, 2015), they are, in fact, major contributors to an exponential increase in the demand for energy and water resources. For example, the training of large language models such as ChatGPT is resource-intensive. Yang *et al.* (2023) estimated that training GPT-3 in Microsoft's US data centers could lead to the evaporation of approximately 700,000 liters of clean freshwater. Looking into their use, a simple search via ChatGPT reportedly requires more water than the same search conducted using Google (Stanford University, 2023) and other conventional search queries (Li *et al.*, 2023). Traditional search engines are optimized for efficiency, which helps minimize their resource consumption per query. This disparity demonstrates the urgent need to prioritize sustainability and implement responsible practices in future AI development and implementation.

4.3 Future research

Several avenues for investigating AI and proactive contract technologies remain open to the presented opportunities and challenges. These could be explored through the following six questions:

How can the European Commission's dual objectives of promoting digitalization/automation and sustainability be aligned better? Technology may support sustainability efforts in numerous respects, but the current approach lacks a holistic understanding of how specific goals can interconnect effectively. The EU's strategies need to comprehensively integrate both digital and ecological transitions to achieve meaningful progress.

How will the AI energy usage be managed with digitalization and automation progress going forward? As the demand for resources continues to rise, fostering innovation in this field is necessary to ensure that AI development does not exacerbate environmental challenges.

How can a proactive law approach be promoted to engage constructively with AI and technological progress?

Can AI support diversity and other inclusion goals? Research has observed a correlation between AI and diversity in corporate governance, demonstrating that AI-assisted recruiting has led to more diverse recruiting processes and nominations on management boards than human Chief Executive Officers (Erel *et al*., 2020).

How will the relationship between humans, AI and other new and emerging technologies evolve? Understanding this dynamic is crucial for anticipating the future trajectory of AI and where these advancements will take us as individuals and society.

Finally, *how can empathy be embedded in proactive contracting processes?* Furthermore, and more speculatively: could empathy become more valuable in an era increasingly dominated by machines?

5. Conclusion

The article set the scene on the role and impact of digital transformation, automation and AI in proactive law and proactive contracting (Chapter 1), defined key concepts for the purposes of this article, proposed a definition of proactive (contract) technologies (Chapter 2), presented the results of surveys centered around AI in contracting and spoke about the ongoing discussions surrounding the topic (Chapter 3), as well as about themes for future research (Chapter 4). It proposed the following theoretical and practical contributions:

Theoretical contributions: The article provides an original definition for proactive (contract) technologies that promotes the integration of research in the fields of digital transformation, automation, AI, emerging contract technologies and proactive law and its application to proactive (contract) technologies. It also classifies the strategic and operative goals for various AI-assisted contractual tasks.

Practical contributions: The article concludes with eight actionable takeaways or recommendations for practitioners in related fields.

1) Management boards should establish clear company policies and guidelines for automation and AI. As the AI revolution tends to be driven

more by employees than by top-down directives, many employees adopt technology solutions regardless of their management and leadership fully understanding the scale of the utilization or the role or impact they may have in their organization.

2) Companies must regularly update their automation and AI policies to align with current laws and regulations, particularly those operating on a global scale.

3) Digital and AI strategies may necessitate cultural transformations within organizations to support effective implementation.

4) For an AI policy to be effective, it should be integrated into the existing contracting strategy.

5) Organizations should embrace AI and proactive contract technologies that facilitate compliance with regulatory frameworks, internal policies and contractual commitments, especially in light of new sustainability targets and EU regulations in heavily regulated sectors, such as chemicals, pharmaceuticals and finance.

6) Companies could invest in CLM systems to assist commercial and contractual compliance and help the contracting parties be aware of and keep what has been internally approved in the organization and externally agreed upon between the parties.

7) The integration of advanced CLM systems with proactive law can effectively address pressing sustainability challenges.

8) Organizations must consider the impact of resource consumption, striving for balance in their operations and committing to the search for solutions.

General-purpose AI systems and CLM solutions are gaining popularity and increasingly incorporate proactive law principles that enhance trading relationships globally. While new entrants such as Google are becoming more active in the CLM market, the long-term implications of these developments remain uncertain. The rapid pace of innovation suggests that significant breakthroughs are on the horizon. However, these changes may not be as disruptive as some anticipate. Organizations must remain vigilant and focus now on how these technologies will reshape their operations and stakeholder interactions, and how the relationship between humans and technology will continue to evolve.

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